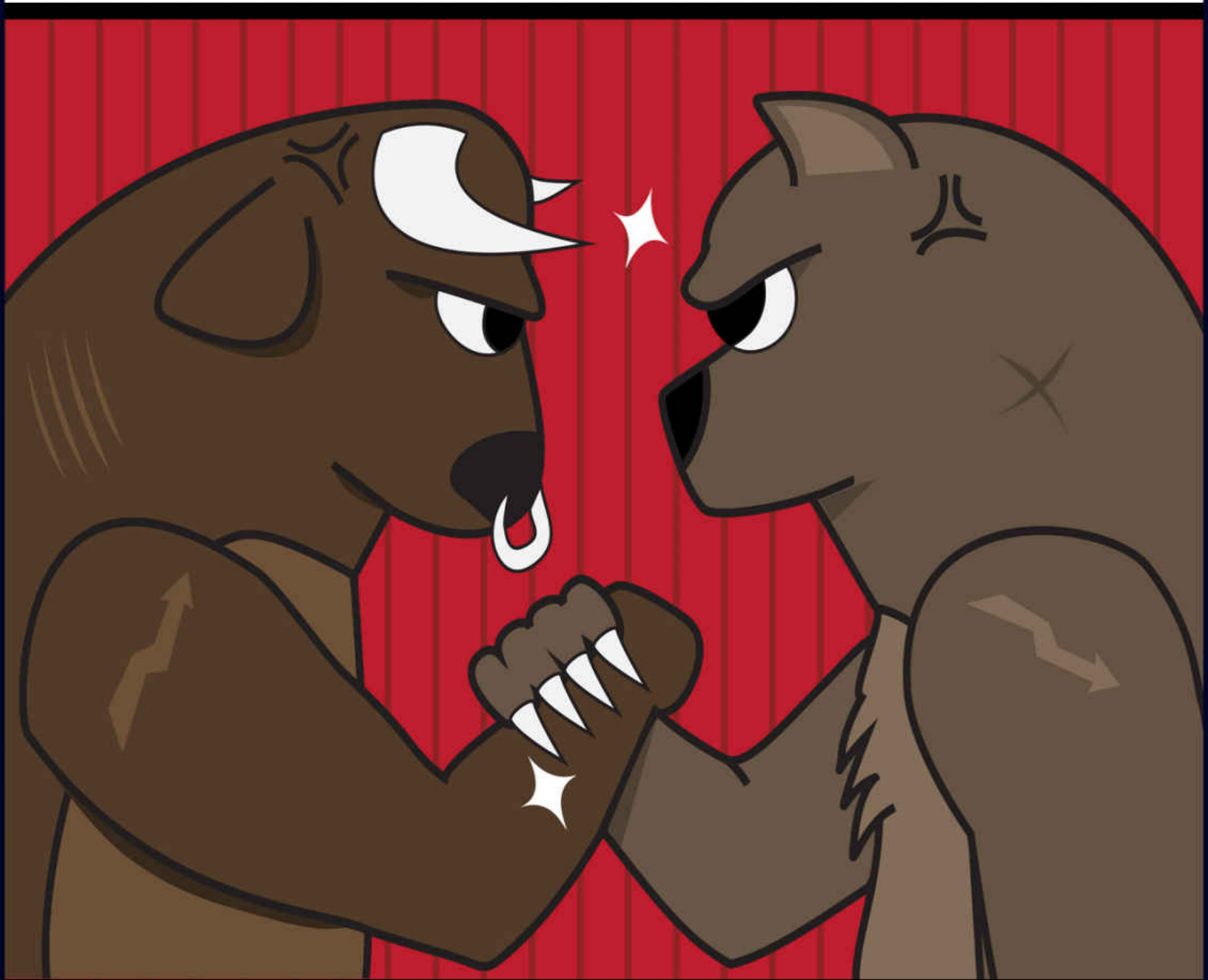


OPTIONS 101

A BEGINNER'S GUIDE TO TRADING STOCK OPTIONS



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OPTIONS 101:

A Beginner's Guide to Trading Stock Market Options

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Option Basics

Definition of an Option: An option is a contract that gives the buyer the right to purchase or sell an underlying asset at a set price by a specific expiration date. It's a right, but not an obligation, to purchase or sell the asset.

Options are simply trading vehicles. The level of risk is correlated to your position size and the odds of success in your time frame before contract expiration. The same principles of profitable trading apply to options that apply to other financial markets. However, with option contracts you can capture the full upside move of an underlying asset during a trend, while the downside is capped at the price you paid for the option. The maximum risk to your capital is the price of the option contract.

Options are useful for leveraging available capital while limiting risk on the downside, allowing you to control more shares of a stock with a small percentage of your trading capital. There is potential for big wins while limiting your losses, which is always your number one goal as a trader.

Long options present a better risk reward ratio than short options, because long options allow you to risk a small amount of money to make a large amount. In contrast, short options with no hedge means you are risking a lot of money for the chance to make very little. Short option positions with a hedge limit losses and create a good chance of winning.

There are many ways to trade with options that we will be exploring in this book.

Before the option markets officially began in 1973, traders used margin (borrowed money) for buying power and leverage. Option contracts allow larger trades through buying short term rights at a price level within a time

frame. They also decrease the risk to capital, and the amount of capital needed for a leveraged trade.

Option contract prices are determined using the Black-Scholes pricing model for time, volatility, and the distance from the strike price. The Black-Scholes model attempts to price the odds that the option will have some intrinsic value at expiration by being “in the money”, and is the primary mathematical model that determines the price of an option. However, it’s the bid/ask prices in the open market that set what people are willing to buy and sell an option contract for.

The option market is not as liquid as other markets such as stocks and commodity futures, and volume can be an issue with option trading. The tightest bid/ask spreads for options are found when there is good trading volume in a popular stock, and with options that expire in the front month and one month out. The most liquid options are those with strike prices that are close to the money. The farther you go from the money in strike price, the wider the bid/ask spreads will be. You can lose profits on winning option trades when the options run deep in the money, become illiquid, and the bid/ask spread expands.

Exiting a winning option trade when it goes deep in the money can cost you capital when the volume dries up and the bid/ask spread expands because there are no interested buyers. If you have enough capital in your option account, you may decide to have an option exercised at expiration so you don’t lose a high percentage of your trading capital to the expanded bid/ask spread.

Options give you a greater chance for profitability as a trader because you aren’t betting on just one direction. It’s possible to have winning strategies that aren’t dictated by the direction of the market. You can make a trade that bets the market goes nowhere. You can trade volatility or bet on a specific move within a set time frame. You can act like a casino and sell options that give the buyer a low probability of profit. Unlike stocks and commodities, options offer a variety of ways to structure trades and bets on volatility, ranges, trends, or lack of a trend.

An example of an options trade (Iron Condor):

The option trader sells out of the money options and buys options that are further out of the money. In this example, the option trader makes money if the trend doesn't reach the long options contracts and they expire worthless. He can win with any direction of the trend; the trade is attempting to judge the probabilities of the trend's magnitude. In this type of trade, it's crucial for the option trader to carefully monitor the risk of the position when the underlying asset trends to the strike price of the long options. Remember that you can buy a hedge or buy to close the short option instead of using stop losses.

Just like all other types of trading, there are option systems with high and low win rates. Profitability comes from limiting your losses whether you are long or short. The option market is efficient and accurate in its pricing model, and a successful option trader must learn to keep losses small so they don't give back the profits from their winning trades.

In the long-term and over a large sample size in varied market environments, all options strategies tend to end up breaking even. The edge in option trading comes from cutting losses when you are having a short trade go against you, or by maximizing your winning trades when you are long options and it's going in your favor.

Hedging short options or unwinding the position when it goes too far against you is critical. Each option system has an inverse system, just like there are long and short stock strategies. You can be long an option strangle or short an option strangle. Remember that there is always someone on the other side of your trade. Every option contract always has someone short and someone long, so unlike the stock market, there is always a winner and a loser. Options are fungible assets so that the trades executed on them are interchangeable. If you sell to open an option, you won't be buying it back from the same person you sold it to, because they are traded on the open market.

To create a profitable option system, you must understand how options are priced and how they move in price. After you understand the strategies, you can design an option trading system that fits your risk tolerance and desired

screen time. You may want to start by paper trading, and then move to a demo account until you understand how the prices move with the market. After you have spent some time practicing, you should be more comfortable trading options with real money in real-time.

Option trading presents some great opportunities to make money with the right process.

Stock Options as Trading Tools

Some people believe stock options are dangerous, risky, and are to be avoided. They feel more comfortable with shares of stock because they know it's possible to blow up your account trading options. If you are selling options short and you use more than your account is worth, your leverage and a trend moving against you can mean that you lose more than your account is worth!

There are others who believe options are a pathway to incredible wealth and can put you on the fast track to becoming a millionaire. You can make larger returns on capital at risk than stocks by controlling large blocks of stock through option contract leverage. By doing this, you can return 20% on your capital at risk when your position is in line with the market. Some of my students at New Trader University have returned 100% to 1000% on their out-of-the money option trades. But option traders must understand that it's your position size and your system's winning percentage that will determine your profitability.

Option profits can leave as fast as they came if risk isn't managed properly. I know new traders who have done well with options, and I have seen professionals reject them due to the added layer of complexity. To be profitable, you must be positioned correctly in the price direction and the magnitude of the move inside the time frame of your options expiration date. Options are more difficult than stocks because you have less time to get it right. You must be nimble enough to maximize and lock in profits, and take the money off the table while it's still there.

So, you may be asking yourself who's right, are options good or bad? They both are. If you don't know how to use options correctly, you can easily blow up your account, and in some cases, end up owing more than your account is worth. Unfortunately, I have seen it happen many times. Both amateurs and professionals relying on short options and high risk have lost everything and ended up in debt to their brokers. Selling options are not

good or bad in themselves, it's the position size and risk exposure that will make or break an option seller. On the other hand, if an option strategy is implemented correctly, it can be very profitable. Most option sellers prefer to sell options when they are most expensive; when the VIX is high and option premium is the highest due to the risk. I highly recommend not selling naked short options, and instead using credit spreads so the loss is always hedged from disaster, and the potential downside can be quantified.

If you do your homework, options are incredible tools for amplifying your returns on your capital at risk while allowing you to apply leverage with less risk. This is possible because long options are contracts with a limited downside and unlimited upside. Options are tools for transferring risk to another trader for a price. Understanding the odds of each bet is the key.

Whether you are on the long or short side of option contracts, you want the odds to be in your favor. You should never risk more than 1% of your total capital on an option trade, regardless of your hopes or ideas about the trade. Options can go to zero by expiration and they can also go up 1000%. As an option trader, you want to have big wins, small wins, or small losses. Eliminate the possibility of large losses from your process and you greatly increase your odds of long-term profitability.

Stock options are for:

- Managing risk through controlling shares with less capital
- Putting the odds in your favor
- Making bets on volatility or a price inside a specific time frame
- Insuring a long-term stock holding from major losses
- Replacement of margin

Stock options are not for:

- Gambling
- Going all-in on one trade
- Trading before you know the risks
- Trading with the odds against you
- Taking on unmanageable risks

This asset class does present amazing opportunities for capital growth and returns if used properly, but they aren't a way to get rich quick. This book will be exploring how to add options to your trading toolbox.

How to Increase Your Options

In one quarter in 2012, I traded the price action in Apple stock from an all-time breakout over \$390 to \$700 and return over 51% on my total trading capital. The strange thing was that in 2012, when I was heavily trading the price of the stock, I never owned a single *share* of Apple stock. How did I catch most of the Apple move from \$390 to \$605 without owning stock? I also controlled hundreds of shares of stock for minimal capital, and caught most the move dollar for dollar while managing risk by limiting my trading capital at risk.

This is a special circumstance, and I had bought Apple stock in previous years with it was priced in the \$100's, as it was in 2007 and 2015. However, when I traded the stock both before and after the split, it was in the \$100's and a round lot was around \$10,000. The price rose to \$400 a round lot to \$40,000, and at \$700 a round lot was \$70,000. I prefer to always trade in increments of 100 shares, and option contracts come in round lots of 100 shares per contract. One option contract gives you control of 100 shares of stock in almost every case. (The only exceptions are mini-contracts that control 10 shares. If a stock splits or reverse splits, the open option contract share count is adjusted to reflect the split.)

The Apple stock price rose and didn't split so I starting using in the money stock options in place of stock. It was better for my risk to return ratio to buy an Apple option contract for \$1,000 – \$1,500, than to put down \$40,000 for one hundred shares. Apple met all my criteria for a monster stock and I wanted to trade it aggressively while managing risk closely. With less required capital, I could easily trade one contract, five contracts, and even ten contracts with minimal risk. The value of my options changed as the probability of them expiring in the money changed with each price move. My call options would go up as the odds of them expiring in the money also went up, and they would drop as the price of them expiring in the money went down.

I able to make a large return on my capital in such a short amount of time because of the leverage provided to me from front month, in the money call options and weekly call options. While this is a specific stock and period, options provide the ability to maximize your leverage during trends.

The power of this asset class is that it gives you more options. Think about trading stocks like playing checkers. Options would look more like a 3D chess board. Option trades can be structured to bet on trends, a lack of volatility, time limits for moves, magnitude of a move, and the trend of volatility itself.

Options can:

- Control large blocks of stocks with call options that are going up with a small amount of capital.
- Short stocks with put options so you don't have to find shares to borrow or use margin to sell short.
- Sell options short to other traders.
- Buy a hedge using put options to protect your long-term stock holdings from a downtrend instead of selling your stock holdings.
- Manage your risk with predefined maximum capital at risk, limited to the price of the option contract.
- Buy or sell time value.
- Buy and sell volatility.
- Bet on a stronger trend than the market is pricing in, but bet on both directions at the same time (straddles and strangles).
- Create synthetic stock positions using options with little capital outlay (Selling a put and buying a call option, or the reverse).
- Sell an option and hedge it with a cheaper option so your short doesn't have too much risk.

Here are some things to watch out for when trading stock options:

- Lack of liquidity: Watch Bid/Ask spreads carefully and don't trade options that are 10% apart. In this scenario, you would lose 20% of your capital at risk entering and exiting the trade. Only trade high volume options with tight spreads, like Google, SPY, Apple, QQQ, and IWM, for example.

- Expiration: If you bet on a strike price and the stock doesn't make it, you could lose what you bet and end up at zero.
- Options are depreciating assets: They are only worth the intrinsic value of the underlying stock at the time of expiration and nothing else.
- It's more difficult to let your winners run when trading options: The time to be profitable with options is limited, so you must know when to take your profits off the table.

How Stock Options Are Priced

If you are interested in trading options, you need to have a basic understanding of what determines their price. It's critical that you understand what determines the value and how they move in step with the underlying stock to be successful. Not understanding what can cause sudden drops and spikes in an options price can lead to some large and unpleasant surprises.

Option contracts are priced based on the Black-Scholes pricing model to determine their value at any given time. Stock options are contracts, they are not assets like stocks or bonds. They are more of a bet on the price of a stock at a certain point in time, and not an investment in something with intrinsic value like a company with earnings, or a tangible commodity futures contract.

Options are priced based on the value of the time left before expiration, and the current assets volatility or expectation of volatility due to an upcoming event, like earnings or an important report. At one time, interest rates were a consideration in pricing, but they have been mostly flat since the financial crisis of 2008. Options will go up as the probabilities of them expiring in the money increase, and will go down as the probabilities of them expiring in the money decreases. As options get closer to being in the money, they capture more of their underlying assets move, and as they get farther away from being in the money, they capture less of their underlying assets move.

To understand how the value of options is determined, and whether you will profit from them, a trader must know the basics of the Greeks.

The Greeks

Theta

Theta measures the rate of decline in the price of an option due to time passing. Theta is also called time decay because the value of an option declines day after day. Theta measures the time value that you pay to hold the contract. Basically, you are paying to rent the shares for a set period. This is in addition to any intrinsic value of the option if it's in the money. A percentage of your time value disappears out of the price of the option each day that you hold the contract after it's purchased. Options are wasting assets; their life span is set only until the expiration date. At that time, the option owner has the right to call the stock to be bought at the strike price if it's a call option, or they can put a stock on someone for the strike price of if it's a put option. The theta value is like the countdown clock where time is money.

At expiration, the time value is zero and you are left with the difference in the intrinsic value that the option entitles you to buy or sell a stock, versus the open market price. The velocity of the time value decline starts out slower when the option is months away from expiration, and accelerates in the final month, finally moving very fast in the last week before expiration.

Far out of the money options and far-out-of-the-month options are made up almost entirely of time value. They also consider the volatility priced in if any events will happen before expiration, because options so far away in time and price don't have any other value. On the last day of an options expiration, the option will have almost zero-time value. Remember that when you enter a stock option trade you are on the clock. The stock must move close enough to the price of your stock to pay for the time you spend holding it.

For a longer-term trade, you must overcome the cost of time to be profitable in your option. Stocks have no time expense because you're taking on the full risk of the asset and not renting it, as with options. Options traders must

pay rent to own the rights to buy or sell a stock at a certain price over a particular time frame. Theta is the value of the amount of time someone spent exposed to the risk of you calling or putting an asset on them at expiration.

Delta

Delta measures the amount that an option is exposed to the moves in the price of the underlying asset, and it's written on a scale from 1.00 to -1.00. Deep-in the money options eventually move dollar for dollar with the underlying stock. If a stock is \$100 and you own a \$96 deep-in the money strike price weekly option, then it's likely the option price will move close to dollar for dollar with the stock price. If the stock goes up \$1, your option contract will go up close to \$1 because your option will most likely expire in the money in one week, making your Delta close to 1.00.

Options that are right at the money will generally only move .50 cents for every dollar move in the underlying asset. This is due to the probabilities being 50% that the options will expire in the money, because the odds are about 50/50 that something moves up or down. If you have a \$100 at the money-option and the stock is at \$100 and then moves to \$102, the odds are that your option will only move \$1, or half as much as the stock, because the Delta was .50 for your at the money-option.

Delta increases as a stock goes farther in the money due to better odds of expiring in the money. It decreases as it goes farther away from the money due to decreasing probabilities of it expiring with intrinsic value. Understanding the odds based on your option Delta can be very enlightening.

A 1.00 Delta projects a 100% probability that your option will expire in the money. A .50 Delta projects gives you a 50% chance that your current option will expire in the money. Finally, a .10 Delta means that you only have a 10% probability that your option will expire in the money.

Note that calls and puts have opposite Deltas; call options are positive and put options are negative. A put option moves inversely to a call option.

Whenever you are long a call option, your Delta will always be a positive number between 0 and 1. When the underlying stock or futures contract increases in price, the value of your call option will also increase by the call options Delta value. Conversely, when the underlying market price decreases, the value of your call option will also decrease by the amount of the Delta.

Put options have negative Deltas, which will range between -1 and 0. When the underlying market price increases, the value of your put option will decrease by the amount of the Delta value. Conversely, when the price of the underlying asset decreases, the value of the put option will increase by the amount of the Delta value.

Delta also correlates with how much intrinsic value your option captures dollar for dollar with the underlying stock.

-Delta = \$1 option gain in a call option for a \$1 increase in stock value.

-.50 Delta = \$0.50 option gain for a call option for a \$1 increase in stock value.

The same is true for a move against your option.

-Delta = \$1 option loss in a call option for a \$1 decrease in stock value.

-.50 Delta = \$0.50 option loss in a call option for a \$1 decrease in stock value.

Remember, the Delta of your option is the percentage of the move in the underlying stock that your option will capture based on the odds of your option expiring in the money

Vega

Vega measures the sensitivity of an option when there are changes in volatility of the underlying asset. Vega value shows the amount that an option contract's price may change because of a 1% change in the volatility of the underlying asset. The volatility of an asset is measured by the magnitude and speed that price moves up or down, and can be based on any changes in the recent price range or historical prices in a stock or commodity future.

Vega will change when there are large price changes in a stock or commodity an option is written on, decreasing as the option gets close to its expiration date. Vega accounts for the risk a seller is taking based on the current and estimated volatility of the underlying stock. Options increase in value during times of high volatility and decrease in times of less volatility.

If you purchase the stock of a company that is announcing its earnings before the options expire, the expected volatility of the event will be priced in to the option. An at the money option will give you an idea of the expected move of a stock. If a stock is at \$100 and an at the money \$100 strike call option is normally \$3 one week until expiration, but earnings are before expiration and the \$100 strike is \$113 instead of the normal \$3, then the odds are that the \$3 is the normal theta value and the extra \$10 is the Vega value pricing in a \$10 move after earnings.

Something to watch out for is that the \$10 value will likely be gone when the option opens for trading the following morning after earnings are announced. The stock could open at \$110 and your option still only be worth \$13 because your Vega value has been replaced by intrinsic value, and you could still have \$3 in theta value. To trade options through earnings, you must overcome the price of the volatility that will be gone after the intrinsic value of the option going in the money

Vega can also be priced in before major events like Federal Reserve minutes, a congressional bill, or a jobs report. Always remember that options are pricing in moves in time and volatility to compensate the option sellers for their risk taking, and it's very efficient for the known volatility of events. It's the following of trends, systems, reactive technical analysis, and risk/reward ratios that can provide an edge.

Gamma

Gamma describes how much the options Delta changes as the price of the underlying stock changes. The option's gamma value is a measurement of the speed of change of the option's Delta. The gamma value of an option contract is a percentage that shows the change in the Delta when there is a one point move in the price of the underlying stock.

The Gamma value measures the magnitude and the direction of a change in the option's Delta. Deltas expand and become higher as price moves in favor of the option's strike price. Options capture more intrinsic value as price moves in the money Deltas become smaller as price moves against the option position's needed strike price to go in the money As price moves away from the strike price required for profitability, the movement gets smaller on the option as the Delta declines. Gamma is the measurement of this rate of change in the Delta.

A Gamma scalper is a trader that tries to buy an out of the money option with time value and a low Delta, and profit by the option Delta expanding and increasing in value. An out-of- the-money option with a small premium value can go up in price as the odds of it going in the money increase, and the Delta capture rapidly expands.

A Gamma scalper will buy an option with only Theta value and profit from the Gamma of a rapidly increasing Delta. These trades typically have lower win percentages but can be profitable with large wins. The key with these trades is to use a small amount of trading capital. A good position size for these types of high reward but low probability of success is 0.25% or 0.5% of total trading capital at risk. Gamma scalpers don't need their option to go in the money to be profitable. They only need the odds of it going into the money to increase so they can sell it for a profit.

Rho

Rho measures the sensitivity of a stock option's price to a change in interest rates. This is almost never considered due to the stability of interest rates over the last decade.

In conclusion, knowing your options potential value, even if the price of the stock goes in your favor, is critical to your success. You must remember that the time value above the strike price will be gone by expiration. The expected magnitude of volatility of known events is priced into the option price, so the move must be larger than expected to overcome the Vega value that will disappear after the event. Gamma will increase the value of an out of the money option as the stock price moves closer to the strike price of the option. You don't want to be right about the price move, right about the

time frame, but still not make any money because you didn't consider the time decay in price or volatility. Know your Greeks.

Common Mistakes Option Traders Make

Options are one of the greatest wealth building tools, and a quick way to lose all your trading capital. Options can fall to zero or go up 1000%, and you must have a plan for either possibility. By deploying small amounts of capital and capturing full moves in your favor, they can be good asymmetric risk management tools and keep you from over leveraging your account.

Here are the biggest and most common pitfalls that new option traders encounter.

New option traders buy far out of the money options without understanding how the odds are stacked against them. If the Delta is only .10 on your option, then you have less than a 1 in 10 chance of your option expiring in the money. Even if you get a move in your favor, your far out of the money option won't increase in value until the Delta expands enough to overcome the time decay.

It takes a large move in price to increase the value of out of the money options. The odds of it expiring in the money must increase enough to drive up the contract price. New option traders often become frustrated when price moves in their favor and their out of the money option goes down in value. In most instances this is gambling and not trading. Always try to be the casino and not the gambler. Options with at least a .25 Delta will increase your odds to 1 in 4 being able to go in the money. These can grow quickly in price as the Delta expands more easily with a move in your favor.

Many new to options trading don't understand that you can't trade options in all stocks; you need option trading volume to create liquidity so the options have a tight bid/ask spread. It's not wise to trade illiquid options because you can lose 10% or more of your capital at risk entering and exiting your trade if the volume doesn't tighten the spread. Do research to see how much it will cost you to get in and out of the trade before you get started. Option spreads of .10 to .50 are preferable. A .10 bid/ask spread on

an option will cost you \$10 to get into the trade and then \$10 to get out. A 100 share contract times .10 cents a share equals \$10 each way. This is a \$20 round trip, in addition to your commission fee, and this only covers one contract. A \$1 bid/ask spread will cost you \$100 in slippage to get in and then \$100 or more to get out of one contract. This is an operating expense that adds up over time. The moment you enter a one contract option with a \$1 bid/ask spread you are already down \$100 in slippage. I only trade in the most liquid option contracts I can find, and stay away from the low volume markets that will slowly eat away at my trading capital.

Look for options that are in line with your trading time frame. Give your trade enough time to work. If you plan on Apple going to \$110 in 2 months, then don't buy a weekly \$110 strike call, because it will run out of time and expire worthless. Instead, buy a two month out call option that won't expire before your trade has time to work. You must be right about the price *and* time period; just one or the other is not good enough to be profitable.

One of the most important things to remember is that the implied volatility that is priced into options above the normal time value before earnings announcements or an uncertain event. The Vega premium disappears after the event comes and goes. For example, if an at the money weekly Apple call option and put option are trading at \$10 above normal time value on the day an earnings announcement, the day after that \$10 in Vega value will be gone. The trade is only profitable if intrinsic value of the option going in the money of the strike price is more than enough to replace the lost Vega value.

When trading through a volatile event like earnings, you must be right about the magnitude of the price; the direction alone is not enough. Buying options through earnings has a low probability of success because the option sellers give themselves a lot of Vega value to cover their risk. Because of this, it's very difficult to overcome the Vega collapse. Many will opine about the few times the move was not priced in, but that is an uncommon event.

There are two ways to use options to capture a simple price move. Option traders must understand that to make money in out of the money options

they must be right about price, the time to get to the price, the magnitude of the price move, and if the price rises enough to overcome the cost of Theta and Vega above the strike price. However, with in the money options, you take on the risk of intrinsic value and you only need be right about the direction. In the money options have little Theta or Vega value, they are almost all intrinsic value and have high Deltas of over .90. With the right liquidity and going deep enough, in the money options can be used like synthetic stocks with less risk.

Don't risk more than you would when trading stocks. I advise never to risk more than 1% of trading capital on any one trade, and the same applies to options. If you can only trade 100 shares of Apple, then only trade one Apple in the money option contract. If your trading capital is large enough to handle trading 1000 shares of Twitter in your normal stock trading account, then trade 10 contracts of Twitter options. Don't trade too large with options. They can double and triple in price, but they can also go to zero. Options can move so fast that they are difficult to implement effective stop losses. It's much easier to have option trades be all or nothing trades with very small positions. With weekly options, a 50% stop loss on an option is the best you will be able to manage. Stop losses must be on the chart of a stock where they have value, and not at a random option price decline level. That's why I prefer all or nothing option trades.

Unlike stocks that are ownership in a company, options are derivatives of stocks and are contracts that will expire. They are not assets, they are bets. Options are a zero-sum game; there is a winner for every loser. To be on the winning side you need to trade with the odds in your favor. If you are a seller of premium, sell the deep out of the money options that have little chance of being worth anything. Option buyers can buy to open the in the money options in the direction of the current market trend. Option premium sellers can sell to open put options under the support of the hottest stocks during bull markets, and sell calls on the stocks in down trends.

Avoid the temptation of selling puts on junk stocks and calls on monster stocks in strong trends because this can be very dangerous. Don't buy low probability far out of the money lottery tickets, and then sell. Don't cap your upside on a hot stock by selling a covered call, instead buy a call

option and get the upside for a small investment of capital. Be on the right side of the probabilities, manage your risk, and you will do very well over the long-term.

Risk Management with Stock Options

How can an option trader enter a position, risk only \$500 of their total trading capital, but control \$50,000 worth of stock? The numbers will vary depending on the option pricing factors of intrinsic value and the Greeks, but the point is that it's possible to control a large dollar value of shares with a small outlay of cash, because you are paying for the opportunity to leverage other people's money.

The option buyer is buying the opportunity to force the seller to deliver shares of stock if the options goes in the money, and it's called from or put on the seller at expiration. The maximum risk of the option seller is to buy to close the option before expiration at a higher price than they opened the option with, or to deliver or buy shares at the option strike price at expiration.

Theoretically, an option seller who sells a naked option with no hedge has unlimited risk exposure. Unhedged short options have blown up many option sellers over the past 40 years. One way to cap the risk on the short side of options is to buy a farther out strike option hedge for their short options, or sell options against a stock position that they have, such as a covered call or a covered put.

Option sellers may have long-term winning streaks in markets by repeatedly selling put options in a bull market or a hot stock until they feel like they have found the Holy Grail. Unfortunately, selling naked put options when events like Black Monday of 1987 or the financial panic of the fall of 2008 occur will lead to ruin. I strongly recommend only selling options with a hedge in place so your worst-case scenario is a manageable loss and not financial ruin.

The Credit Spread option play is when you sell option premium while buying an option farther out of the money as a hedge for your short option. If a stock is trading at \$97, you could sell a \$100 strike call option at \$3 and

then go out farther in strike price on the same time frame to buy a \$105 strike call option for \$1. This drops your profit potential from \$300 to \$200 in the option play, but it caps your loss at \$300 if the stock moves all the way to \$105, rather than uncapped losses if it went much higher. For this bearish credit spread to be profitable, price needs to close below \$102 at expiration, or the short side of the option play be bought back for a profit before expiration. If the stock closes below \$100 on the day of expiration, then the option expires worthless and the trade will net \$200 in profits. If it closes over \$102 and the trade is a loser, it could cost you up to \$300 if the stock runs all the way to \$105 and your long option hedge kicks in to cover you. If the stock plunges much lower and drops the short option value enough, it could be worth closing early to lock in profits.

An important lesson for new option traders is that an option can be traded at any time before expiration to be profitable; you don't have to make a trade until expiration to make money. I think this is the safest way to sell option premium. It can be difficult to exit the long option hedge side of your trade if your short side is profitable, because the liquidity will dry up on options so far out of the money. Sometimes, the hedge will be a full loss if your short side is profitable.

A concern about selling stocks short is that there is unlimited risk on the short side. If you buy a stock at \$5, it can only go to zero and you lose your initial \$5 per share. But if you short a \$5 stock, it has the potential to go to \$100 and you lose \$95 a share. While this is an extreme example, and traders should exit before this happens, penny stocks and biotech stocks can be dangerous on the short side---if you can find shares to borrow and sell short.

Buying put options solve two problems for stock traders that want to short a stock: you don't have to worry about finding shares to borrow for a short sell, but you must make sure the put options are liquid for your time frame, and your loss is limited to the put option contract. If a stock gaps up against your put option, then your risk is already defined and capped at the price of you contract. If your put option contract is less than 1% of your total trading capital, then the damage and drawdown will be minimal and your option trading account will live to fight another day.

Your long put options can also go up in value if the volatility of the underlying stock increases because the Vega value will increase. However, Vega cuts both ways, and your long put option value can drop sharply during price rallies. As the VIX drops, Vega value decays as fear decreases. A rising VIX and an expanding price range will drive up put option values, and they may be more expensive to buy later in a downtrend. They may be scooped up as hedges for insurance on longer term positions by investors and money managers. I think that put options are the safest way to sell stocks short to cap your risk during unexpected rallies.

The power of owning options is the ability to leverage capital while capping risk exposure. For a relatively small amount of capital, an option trader can control 100 shares of stock. By owning high Delta in the money options, a trader can capture a large percentage of a price move with limited risk exposure, regardless of the size or speed of a move.

This is the power of asymmetric trading: unlimited upside with a limited downside. Many people fear options because they can be all or nothing trades. The key to coming out ahead and managing stress is to trade amounts that are meaningful if you win but not be devastating if you lose. It's the winning trades and winning streaks that can pay for small losses.

Things to remember for managing your risk with option trading:

- Never lose more than 1% of your total trading capital on one option trade. If you have a \$30,000 option trading account, then you can only buy options at \$300 or less per trade. This caps your worst-case scenario loss at 1%. It would take 10 losing trades in a row for a 10% drawdown in total trading capital.
- The best stop losses for options need to be based on key price levels on stock charts that invalidated your original entry, like a stock losing its price support when you are long with a call option position.
- Trading longer out options can give you more leeway with stops, because their Deltas are lower and you are trading primarily with slow moving Theta time decay.

The Truth About Weekly Options

If the position size is right and they are used inside of a quantifiable trading system that is structured for big wins and small losses, they can be powerful trading tools. Weekly options have very high Deltas and most of them are very liquid. They are ideal for traders that are trading on a daily or weekly time frame with entries and exits in their preexisting stock trading system.

Weekly options are good for risk management on the long side if traded within the money options as replacement for stock. Far out of the money weekly options should only be used for technical reasons, and with a high probability that they will increase in value in their time frame. Traders get in trouble with weeklies when they buy them as lottery tickets without a good technical reason for their strike price. An option trader can then compound their mistake of a low probability trade by buying a big position in their low probability option.

Weekly options can give a trader access to control large blocks of stock for minimal capital used on a short time frame. They are dangerous if an option trader buys too far out of the money options, because the odds are that time will run out and they will end up being worthless. Remember, you only have one week for the option to move enough in your favor to be able to lock in profits. It's also not a good idea to sell them without a hedge because you are taking on unlimited risk for a small fee. Getting on the wrong side of a trend when you are short an unhedged weekly option can get expensive very quickly.

The simplest way I have found to use weekly options is to buy them in the money to capture directional trends. If you want to sell them for premium, I think it's best to sell both the call and put at the money, and then hedge by buying farther out of the money call and puts on each side; a butterfly option play repeatedly. You won't have the ability to go far out in strike price to sell weeklies like monthly options because of the short time frame before expiration.

Weekly options should only be traded with the same position size you would use while trading the underlying stock. If you normally trade 100 shares of Apple, then only trade 1 Apple option contract. Trading 10 option contracts when you can't handle the loss from a larger position size is dangerous to your account and will cause you unnecessary stress. Trading the proper position size will make it easier to follow your trading plan and be successful.

Using in the money options gives you better odds of success because you only pick the direction of the move. With out of the money options, you must pick the direction, the amount of the move, and the time period. This is a way to put the odds in your favor by not having to overcome the priced in Vega or Theta. Stock replacement using weekly in the money options is the simplest way to start out when transitioning from stock trading to option trading.

While weekly options provide great asymmetric trades with an unlimited upside and limited downside, there is still capital at risk and you should be careful not to make a large trade with weeklies because you are over confident. Weekly options can appeal to a trader's greed and lure them into overestimating the odds of success. Be careful that you don't let winning streaks lure you to drift into bigger and bigger position sizes because your ego starts to make you feel invincible.

When you have an option that has gone deeper in the money due to a trend, it's better to sell that option and roll it into one that is closer to the money so you can take your profits and buy a new option that continues to capture the trend but with less capital at risk.

New weekly options start trading each Thursday morning on stocks that have them, so it's easy to roll a trade to new options and not have to exit the trade just because your options expired on Friday.

If you don't understand options, then don't start trading them until you do.

This is How I Roll

The key to safely trading options in place of stocks is to roll them over when you have nice profits, and you would like to stay in a trending stock. If you buy a SPY ETF call option contract with a \$200 strike price for \$300 when SPY is trading at \$203, and the ETF runs moves to \$206 increasing the worth of your option to \$600, then it's important to lock in those profits and roll it to a new call option.

Buying a \$203 strike call option for \$300 will allow you to lock in your original \$300 profit for a 100% return on that option trade. Even in a nasty whipsaw against you of \$3 in the underlying ETF price, you can't lose the original \$300 in risk capital, only the \$300 in profit. This is an important strategy to understand especially, late in a stock's run when a reversal could be eminent.

It's also important to understand that the options need to have high liquidity so you don't lose an excessive amount of capital with a wide bid/ask spread. Rolling works with both weekly and monthly options if you are holding over the long run. You can lock in your winning profits and roll your option to let your winner run in a trending stock or market, by moving the strike price of your option in the direction of the trend expiration date farther into the future. This enables the option holder to trade the same directional position over the long-term, while capturing maximum Delta with weekly options or front month options. This is another strategy to add to your arsenal that helps limit the downside but keeps your upside unlimited. The key is to buy an in the money option and if it goes deep in the money, sell it and buy a new at the money option while locking in your profits but letting your winner run with a new option with less capital at risk.

Rolling option contracts up and forward is a tool for capturing trending markets. The goal is to keep your capital at risk exposure within set parameters and to lock in profits while they are there. With the in the money options, Delta is always high but the amount of intrinsic value your option

builds is what is exposed to whipsaw reversals and trend reversals. You want to keep those profits safely in your account, not inside an option contract with little upside and too much risk. When possible, the best time to lock in these open profits is into strength and then reenter the trade with the next pullback. You can set a time limit for yourself, that if there is no pullback, you enter back into the trend. This will help you catch strong trends, but it's rare that there won't be a pullback to let you get back in. This process is like trend following with managed futures, where they must roll futures contracts as the delivery day approaches. I don't hold my winning option trades until expiration. I take the profits off the table when they are there, whenever that falls in the life of the option contract.

How NOT To Use Options

One of the most dangerous way to use options is to sell covered calls. This may sound strange to most option traders, because it's the safest and most convenient way to use options for long-term holdings. Many Individual Retirement Accounts (IRAs) will even allow participants to write covered calls on their stock holdings. So how could this be dangerous?

Let's think about this option play and think about the risk.

Brokers love to let you sell covered calls, because they get the option commissions and you take on all the risk. Although covered calls is a way to generate income in an uptrending market because you can sell covered calls out of the money repeatedly and collect the premium and capital appreciation of the underlying stock before it gets to your stock strike price. However, what happens in a bear market?

In a bear market, you are taking on all the downside risk of your stock falling for the compensation of a small option contract premium. You could be collecting \$1 in call premiums while your stock is dropping \$10 a share, and that's a terrible risk return ratio. And if your stock happens to have a big rally after plunging, your recovery is capped at the level of your currently covered call strike.

Selling covered calls in a bull market also caps your uptrend gains for a small fee. In a bear market, covered calls are shifting all the big downside risk to the person holding the underlying stock, and giving the possible upside to the call buyer for a small fee. In a bull market a covered call is a "stop gain", where you will miss out on big trends because you sold the trend above your covered call strike price for a small fee. For these reasons, I dislike covered calls.

I would be a buyer of calls in an uptrend and not a seller. A call option gives the buyer of that option contract leverage for a small fee and comes

with a built in stop and an unlimited upside. it's a great deal if you know how to buy with the odds in your favor. Covered call strategies may have long winning streaks, but when a stock collapses due to earnings, accounting irregularities, missed earnings, or business missteps, you can give back years of profits in the stock's capital gains and the option premium you have been collecting.

In a roaring bear market like 2008 and the beginning of 2009, using a covered call strategy could destroy half your account during the panic, and then cap your ability to recover after March of 2009. To be successful in the stock market over the long-term, you must let your winners run and cut your losses short. Covered call options do the exact opposite; they cut your profits short at their strike price, but let your losers run.

Brokers don't mind letting you do covered calls because all the risk is on you, and you already have your short call option covered with your stock as a hedge. Brokers will let you sell options short if you have a hedge because they like to collect commissions. Try to expose them to the risk of you selling an option short with no hedge and they will likely demand a special approval to sell option premium, special margin, and prefer you to hedge your short options with a farther out long option strike. When they are exposed to open ended short option risk, they are strict about the parameters, but they will let you sell options against your stocks when the risk is on you. This is something to think about.

Does Selling Option Premium Give You an Edge?

A common misunderstanding among new option traders is that 90% of all options expire as worthless, so a seller of option premiums will have a higher win rate than a trader that buys options. This belief doesn't consider a statistic published by the Chicago Board Options Exchange (CBOE), that only 10% of option contracts are held until expiration and then exercised. 90% are bought back and closed before expiration so they are removed from the 'expired for a loss' statistic. They could have been closed for a loss or a gain before expiration.

Just because 10% of option contracts are held and exercised doesn't mean the other 90% expire worthless. This doesn't consider how options are traded profitably between when they are opened and closed. Per the CBOE, between 55% and 60% of options contracts are closed out prior to expiration. Statistically, a seller who sold-to-open a contract will buy-to-close it 55-60% of the time, which could be at a profit before expiration. Few option premium sellers hold the short contract through to expiration. Instead, they are closing their position when the risk/reward ratio favors buying them back for a profit.

If only 10% of open options contracts ever end up being exercised, and 55-60% get closed out before expiration, then only 30-35% of contracts expire worthless. This is after they could have been traded back and forth for a profit the whole time they were in the market. The real question that new option traders should ask themselves is not how many options expire worthless, but of the 55-60% that get closed out before expiration, how many times did the option seller profit, and how often did they buy back their short option to close for a loss?

I think that most losing short side option trades are closed before expiration for a loss to stop the risk exposure of a short contract that is going in the money. Option sellers could be closing their short option trades before expiration to cut their losses short. The question about what side of an

option trade is the most profitable, the short or the long side, can't be answered by how they expired in or out of the money, but how options traded over the full life of the contract.

Options are a zero-sum game; for every long, there is a short. For every option profit, there is an option loss. Options are fungible and interchangeable, so they are traded back and forth as they march toward expiration. Options will change hands many times before expiration, and these trades are where option buyers can profit before their time runs out. Options can be traded profitably from the long side by taking the profits while they are there. Option profits are not just determined at expiration, but are determined as they occur every day.

Option premium sellers can be hurt during trends. The risk and probabilities play out evenly over the long run, with option sellers collecting many small wins and some big losses, and the option buyers having many small losses and some big wins. The winners are not exclusively on the long or short side, they are option traders with an edge, risk management, and discipline.

Conclusion

To be a profitable option trader, you must love what you do. If you trade options with the right position sizing it can be an interesting and flexible way to make money. If you trade options recklessly or with too much size, it can be a stressful nightmare.

The same universal principles of profitable trading apply to option trading. Option trading requires proper position sizing and the right mindset. You also must trade options with an edge over others to be profitable. You must have a high winning percentage with small losses on your losing trades, or your winning trades must be much larger than your losing trades so you can be profitable with a lower win rate.

Learn to trade options wisely and you will add a valuable tool to your trading toolbox.

Happy Trading!

Follow Steve at NewTraderU.com or on Twitter at [@sjoesphburns](https://twitter.com/sjoesphburns).

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